QPCode: Model **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) EXAMINATION MARCH 2026

IV SEMESTER

CORE COURSE - MG4CCRBBA201- Financial Management

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

MODEL QP

Part A

Short Answer Questions(four to five sentences)

A choice between two options for each question, answer five short answer questions, one from each pair

1a. Explain why finance is called the “lifeblood” of business. [U / [CO1]

OR

1b.. State the goals of financial management. [U / [CO1]

2a. Write the formula for Capitalisation under the Earning Theory [U / [CO2]

OR

2b. What are the basic assumptions of the Net Operating Income Approach? [U / [CO2]

3a. Define cost of capital? [U / [CO3]

OR

3b. Write a note on 'trading on equity'? [U / [CO3]

4a. State any two factors affecting dividend policy. [U / [CO4]

OR

4b. List any two forms in which dividends can be paid. U / [CO4]

5a. Explain how financing decisions affect shareholders' wealth. [U / [CO1]

OR

5b. Give two differences between equity shares and preference shares. U / [CO1]

[5x3 = 15]

Part B

Short Essay

A choice between two options for each question, answer three short essay questions, one from each pair

6a. Discuss the types of finance briefly. U / [CO1]

OR

6b. Explain briefly ploughing back of profit. State its advantages. U / [CO1]

7a. Assess the role of inventory control techniques in reducing working capital. [An] / [CO3]

OR

7b. Estimate net working capital when inventory = ₹4,00,000; debtors = ₹3,00,000; cash = ₹30,000; creditors = ₹2,10,000 [A] / [CO3]

8a. Analyse the major theories relating to dividend decisions. [An] / [CO4]

OR

8b. A company is evaluating two mutually exclusive projects, A and B. [An] / [CO4]
Each project requires an initial investment of ₹1,50,000.
The expected cash inflows are as follows:

Year	Project A (₹)	Project B (₹)
1	40,000	60,000
2	50,000	50,000
3	60,000	40,000
4	70,000	30,000
5	80,000	20,000

1. Calculate the Payback Period for both projects.
2. Which project should be selected based on the Payback Method?
3. State one limitation of the Payback Period method.

[3x5 = 15]

Part C

Long Essay

A choice between two options for each question, answer two long essay questions, one from each pair

MODEL QP

9a. Compare and contrast Over-Capitalisation and Under-Capitalisation with reference to shareholders, company and society. [U] / [CO2]

OR

9b. **Sunrise Manufacturing Ltd.** has an equity share capital of **₹5,00,000** divided into equity shares of **₹10 each**. [A] / [CO2]

The company plans to raise **₹2,00,000** to finance a new expansion project.

The following financing alternatives are available:

A) Issue of equity shares at par

B) 12% Preference Shares worth ₹2,00,000

C) 9% Debentures worth ₹2,00,000

Additional Information:

Present EBIT = ₹2,00,000

Corporate Tax Rate = 25%

1. Calculate the **Earnings Per Share (EPS)** under each financing alternative assuming:
   a) EBIT remains the same
   b) EBIT increases by ₹60,000
2. Prepare an **EBIT–EPS comparison statement**.
3. Recommend the most suitable financing option based on your analysis.

10a. What are the factors determining the cost of capital? Explain? [U] / [CO3]

OR

10b. Two companies, Alpha Ltd**.** and Beta Ltd**.**, are operating in the same industry. [An] / [CO3]

The following financial details are available:

Particulars	**Alpha Ltd. (₹)**	**Beta Ltd. (₹)**
Sales	40,00,000	40,00,000
Variable Cost	24,00,000	24,00,000
Fixed Cost	10,00,000	6,00,000
Interest	2,00,000	4,00,000

a) Calculate Contribution and EBIT for both companies.

b) Compute:

- Degree of Operating Leverage (DOL)
- Degree of Financial Leverage (DFL)
- Degree of Combined Leverage (DCL)

c) Compare the Operating Risk of both companies.

d) Compare the Financial Risk of both companies.

e) Identify which company is more risky overall and justify your answer with appropriate reasoning.

[2x20 = 40]

MODEL QP

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